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# L'Occitane en Provence

In early 2010, the media was speculating about the possibility of an initial public offering (IPO) by L'Occitane, a French cosmetics company. L'Occitane's brand was built around its use of natural herbal ingredients sourced principally from the fields of Provence in Southern France. Committed to providing products of the highest quality to its customers, L'Occitane had experienced rapid growth, particularly in international markets. Though largely produced in France, L'Occitane's fragrant, sweet-smelling soaps were now finding their way into homes, hotels, and spas across the world and its sunny, Provencal-yellow storefronts were dotting the corridors of upscale malls and airports from Beijing to Buenos Aires.

L'Occitane had remained privately held since its founding in 1976. And that was exactly how Reinold Geiger, an Austrian entrepreneur and L'Occitane's Chairman, had wanted it. When prodded by an interviewer in 2007 about taking the company public, he responded with a simple yet firm message, stating, "I prefer not to float the company."[1]

L'Occitane had grown swiftly in the last few years, and the company planned a continued global expansion. Selling shares to the public was commonly considered one way to finance further growth for a large and rapidly growing firm. Although L'Occitane had so far been successful as a privately-held company, perhaps it was time to consider "going public."

After 30 years of private ownership and given Geiger's long-standing reluctance to list the company, the decision about whether to publicly list the company needed to be made with the most careful consideration. Should the company remain private? Or was it time to consider an IPO in order to move more quickly in the current environment and take advantage of the market position it had achieved? And if the company did decide to go public, on which stock exchange should it list?

## Making Provençal Soaps for a Global Market

The L'Occitane brand was centered on commitment to using high-quality ingredients and the link to the French region of Provence, home of lavender fields, truffles, olive trees, and beautiful medieval towns. The firm developed almost all of its products in-house and manufactured a significant portion of its goods at its two Provence manufacturing plants, in Manosque and Lagorce.

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Professor Bo Becker, Assistant Director of the Europe Research Center Daniela Beyersdorfer, Senior Lecturer Scott Mayfield, and Senior Researcher of the Japan Research Center Mayuka Yamazaki prepared this case. This case was developed from published sources. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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By 2009, L'Occitane's personal care product lines included lotions, creams, body scrubs, face care products, fragrances, hair care products, bath products, and men's grooming goods. L'Occitane also produced a limited line of household goods, such as home perfumes and scented candles. L'Occitane products were carefully packaged in a manner that reflected typical Provencal design and color schemes. (See **Exhibit 1** for selected product photos.)

Total worldwide sales in the beauty and personal-care products industry reached $333.6 billion in 2008, with the U.S. being the world's largest national market (17.7% share of the world market), followed by Japan (10.1% of global sales) and Brazil (8.6%).[2] (See **Exhibit 2** for selected market data.)

Analysts thought the industry environment for premium, organic-based cosmetics was favorable and that there was significant growth potential from sales in emerging economies such as Brazil, Russia, India, and China.[3]

As of February 2010, L'Occitane had 1,517 retail locations in more than 85 countries worldwide. 753 of these were L'Occitane stores, 470 were stores operated by third-party distributors, and 294 were operated by airport and duty-free stores. L'Occitane stores were all decorated in the standardized L'Occitane design and sold exclusively L'Occitane products.[4] (See **Exhibit 3** for store photo.)

L'Occitane distinguished two main distribution channels: the "Sell-Out" segment (including the L'Occitane stores, its internet shopping website, mail-order catalogues, and retail sales in spas and cafes), and its "Sell-In" segment (representing sales of their products to resellers, such as duty-free stores, airports, department stores, and wholesalers). [5] In 2009, 73.5% of the company's sales were derived from the Sell-Out, 23.1% from the Sell-In segment, and the remaining 3.4% from the sale of L'Occitane products to intermediaries, such as hotels and airlines.[6]

L'Occitane's marketing emphasized its commitment to using natural ingredients, not only by naming its product lines after the primary plant or substance ingredient (such as Almonds, Lavender, Rose, or Olive), but also by creating a narrative around it, including information about its process of growth and harvest.[7] In-store initiatives were another marketing focus area with frequent changes in product displays and short-term sales promotions.

## Financing L'Occitane

L'Occitane was created in 1976 by Olivier Baussan, then a 23-year old native of Provence. Baussan bought a still and began extracting essential oils from plants of the local countryside, such as rosemary and lavender, which he sold in local markets. Developing a small product line of fragranced cosmetics, Baussan opened his first store in the Provencal village of Volx, in 1978, and centralized his manufacturing facilities in nearby Manosque in 1986, where an active plant remained.[8]

In the early 1990s, Baussan began to expand the business. To raise the necessary capital, Baussan sold 90% of his company to a small venture capital firm for $8 million.[9] Following the sale, Baussan was excluded from the management team and was no longer able to participate in operational and strategic decisions.[10] Baussan later recalled, "It was hell. Our approaches were incompatible."[11] During this period, the business performed poorly and it lost money from 1990 to 1993. Baussan said later, "The Company was going downhill and declining. That's when Reinold Geiger arrived."[12]



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Reinold Geiger met Baussan at a cosmetics-packaging conference in 1994. With Baussan's business on the brink of failure, Geiger acquired a 33% interest in L'Occitane for $2.8 million, joined the company's board, and encouraged the firm to consider an immediate expansion into Asia.[13] In 1996, Geiger bought out the venture capital investors, becoming the company's majority shareholder and chairman of the board, and brought Baussan back to L'Occitane as a creative consultant.[14] As of early 2010, Geiger was L'Occitane's Chairman and CEO.[15]

Under Geiger's leadership, L'Occitane expanded internationally and experienced strong growth. L'Occitane opened stores in Hong Kong starting in 1995, New York in 1996, and Japan in 1998. [16] In 2003, L'Occitane expanded its manufacturing capabilities by opening a second manufacturing plant in Lagorce, France and started signing agreements with airports and train stations desiring L'Occitane outlets. L'Occitane first opened stores in China in 2005 and, in India in 2009. By December 2009, the number of L'Occitane stores was over 1,500, with sales and profits during the first nine months of the fiscal year of €462.7 million and €68.7 million, respectively.[17] (L'Occitane income statements and balance sheets appear in **Exhibits 4** and **5**.)

As L'Occitane grew, it needed additional funding. Until 2001, Geiger had been financing L'Occitane's expansion with his own capital. A modest source of funding was bank loans. Starting in 2001, the French cosmetics firm Clarins began making investments in L'Occitane, providing about $40 million of funding in exchange for a 23% ownership stake. This additional funding allowed L'Occitane to increase the number of store roll-outs and the size of its marketing budget.[18]

In May 2007, Clarins and another large shareholder reduced their ownership interests in L'Occitane via a management buyout. In the buyout, Geiger and other members of the management group paid €189 million for a 25% interest in L'Occitane. The management group financed the buyout, in part, with debt, obtaining a senior credit facility with a limit of €205 million.[a] As of December 31, 2009, the management group had drawn about €174 from this facility.[19]

## L'Occitane's Plans and Strategies

In 2007, Geiger stated that "approximately 30% of our business is in Europe, 30% in the Americas, and 40% in Asia."[20] Between 2004 and 2008, L'Occitane's sales of cosmetics and personal care products increased at an annual rate of 14% in Russia, 13% in Brazil, and 12% in China.[21] By 2009, L'Occitane's three largest national markets in terms of sales were Japan, the U.S., and France.[22] Ten years after its 1998 entry into Japan, L'Occitane was still achieving double-digit sales growth in that market.[23]

L'Occitane planned to seek growth in various ways in the coming years.[24] The firm intended to continue the expansion of its store network as well as the development of other channels, particularly in high-growth emerging markets (e.g., China, Brazil, Russia, India, and Mexico) (see **Exhibit 6** for growth projections), but also in developed markets where it had not yet achieved mature presence (e.g., Japan, the U.S., the United Kingdom, Germany, and South Korea).[25] Asia-Pacific President André Hoffmann commented on L'Occitane's plans to open up to 650 new outlets worldwide in the next five years: "We [for example] plan to more than double the number of stores we have in China and (increase those in) Japan by approximately 50 percent."[26]

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[a] Since this note was a liability of the management group, and not the firm, this debt did not appear on the firm's balance sheet.



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L'Occitane also planned to develop the L'Occitane brand further, including its associations with quality, respect for mankind and the environment, and Provence. The firm would "launch products tailored for the needs and tastes of Asian customers, including lotions and fragrances lighter in texture and scent."[27] The company intended to build a strong group portfolio of comparable natural ingredient-based companies in order to capture the organic market, which it believed had high growth potential (a process begun by its 2008 purchase of French organic cosmetics company Melvita). Geiger specified to journalists that L'Occitane sought merger and acquisitions (M&A) opportunities "in the U.S., Asia, and Brazil.… they must be natural cosmetic brands."[28] Finally, L'Occitane intended to make significant investments in its research and development (R&D) facilities, manufacturing, and building of a central distribution center.

L'Occitane also needed capital to maintain and update existing operations. In addition, to finance its global growth objectives, L'Occitane anticipated needing about €130 million to finance new store openings during the next five years. L'Occitane also anticipated needing financing of about €40 million for the expansion and improvement of its manufacturing and warehousing facilities and about €20 million for its R&D and e-commerce objectives.[29]

## Considering an Initial Public Offering

While Geiger had always stressed that L'Occitane had sufficient resources to finance its growth plans, he admitted that it was nevertheless "natural" for a privately held firm to consider going public.[30] Companies "went public" when they offered their ownership shares for the first time to the general investment community. The decision to go public required careful understanding of the IPO process and careful consideration of both the potential benefits and costs of being a public company.

### *The IPO Process*

In order to go public, companies had to satisfy thresholds laid out by regulators and the stock exchange on which they hoped to list. These thresholds varied but often included a minimum track record for the business (in many cases at least three years of operations); a minimum amount of revenues, cash flow, or a combination of these either based on the latest financial year or an average of several years; or a minimum market capitalization upon IPO.[31]

The first step in doing an IPO was contacting an investment bank to help with the sale of shares. This investment bank, referred to as the "underwriter", prepared various regulatory filings and an investor prospectus (the document providing potential investors with necessary information), arrange a road show to present the company to institutional investors, and organize a syndicate of banks to help distribute the firm's shares if necessary. The underwriter was allowed to start selling efforts after the submission of the IPO filing. Management often attended road shows promoting the offering to institutional investors. The underwriter used feedback from investors to set a final issuance price. In the U.S., underwriters structure an IPO as a "firm commitment" or "best effort". In a firm commitment IPO, the underwriter would buy the IPO shares from the issuer and guarantee the sale of a certain number of shares to investors, thus bearing the risk of any failure to sell sufficient shares. This was more common than best efforts offerings, where the risk of a failed offering remained with the issuer. The underwriter often received an over-allotment option, giving them the right to sell additional shares at the offering price.

The review process of the prospectus in some markets took just one or two months, but four to six in the European Union (EU), and six to eight in the U.S.[32] In the U.S. and the U.K., the prospectus was



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reviewed by a regulator, the SEC (U.S. Securities and Exchange Commission) or the UKLA (U.K. Listing Authority), and in other markets such as Hong Kong and Singapore by the stock exchange. During the review period, the company had to answer questions from the reviewer, make necessary changes and submit an amended filing, and submit additional documents as requested. When a regulator or a stock exchange was satisfied with the changes and cleared the filing, the company and its underwriter completed negotiations on share pricing and the offering amount, and included the information in the filing. When the filing was declared "effective," the underwriter was allowed to offer shares for sale.

Trading of the firm's shares in the public market commenced on the day of the IPO. Pre-IPO investors and selling shareholders were typically subject to limits on selling shares for six to 12 months. The underwriting bank typically provided several services after the issuance, including market making for the shares and providing analyst coverage. In most countries, it took between six and nine months for a company to execute an IPO.

**Benefits of an IPO:** Apart from providing new equity capital for the firm, an IPO offered many benefits. Founders and other pre-IPO investors could sell some of their shares in the IPO. Additional shares could be sold after the "lock-up period", typically three to six months in the US, had expired. Diversifying funding sources meant that public companies had more financial flexibility. Becoming a public company could raise the prestige and recognition attached to the status a listed company, perhaps providing an advantage to the firm in product and labor markets (e.g., making it easier to hire people). Also, having listed shares provided a currency for acquisitions and for employee stock option plans.

In a US survey, Chief Financial Officers (CFOs) reported that IPOs were typically motivated by the desire to create a public market for use in future acquisitions, establishing a market price for the firm, broadening the ownership base, reducing the cost of capital, and attracting analysts' attention.[33]

**Costs of an IPO:** Seeking a public listing would require L'Occitane to incur one-time fees. Underwriting fees in the U.S. were typically 7% of the value of shares sold.[34] In addition, there were legal, accounting, and marketing costs. In all countries and markets, there were reporting requirements for public firms that private firms were not subject to. Therefore, an IPO necessitated considerable recurring expenses for auditing, reporting, and compliance with exchange regulations. An IPO would also require substantial management time, especially in the period before the listing.

An IPO would also put the company under public scrutiny, could lessen the control of the owners, and could make the firm more susceptible to takeover bids.

Finally, IPOs were also subject to what academics called "underpricing", the tendency of shares to rise very much in price on the first day of listing. This could be interpreted as discount given to investors who participated in the IPO, at the expense of selling shareholders. The amount of underpricing varied across markets, and **Exhibit 7** provides some examples.

## *Where to List?*

If L'Occitane were to raise equity, another question was where to list. Several of the about 100 major stock exchanges worldwide seemed to be worth looking at given L'Occitane's global opreations, and needed to be scrutinized in more detail for their potential fit. (See **Exhibit 7** for comparative key indicators of a few selected stock exchanges.)



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Companies took various factors into account when choosing the optimal listing location, such as the prestige of a stock exchange, the chances that the company might be included in an index of the stock exchange, initial and ongoing listing requirements, listing fees and costs, access to investors, and research coverage. In addition, underwriting fees varied across countries. In the United States, underwriting fees were typically about twice those in countries outside of the U.S., such as Australia, Japan, Hong Kong, or Europe. [35] Of course, the share price that could be achieved would also be an important factor. Many firms also considered listing multiple locations, although typically not initially. Most firms would list in the country where their headquarters was located, where the majority of the sales and sales growth opportunities were located, and in the country where they were incorporated.

**Paris Bourse (Euronext)** For a company headquartered in Southern France, the Paris Bourse was a logical candidate for listing. The Paris Bourse was owned by NYSE Euronext, along with the Belgian, Portuguese and Dutch exchanges, with a total market capitalization of $2.9 trillion. A firm was required to have a minimum market capitalization of €150 million to do an IPO at the Paris exchange. Companies listed at Euronext had to comply with IFRS accounting rules. In 2009, 12 companies completed IPOs on Euronext (a slight increase from 9 in 2008).[36] Of these 12, only four listed in Paris, however (down from 10 in 2008 and or 21 in 2007).[37]

**London Stock Exchange** Another option for L'Occitane was the London Stock Exchange (LSE). As of the end of 2009, LSE was the fifth largest stock exchange with $2.8 trillion market capitalization. LSE consisted of the Main Market for larger firms and AIM for smaller ones. In order to encourage foreign firms to list on LSE, LSE allowed non-U.K. companies to list on the Main Market by meeting EU harmonized accounting standards (U.K. firms had to meet the highest standards of U.K. GAAP). As a result, the share of foreign companies remained over one-third at LSE. Overall, however, the number of IPOs at LSE dropped dramatically to just 27 in 2009 due to the recent financial crisis (from 268 in 2007, 73 in 2008). [38]

**New York Stock Exchange** As the largest and traditionally the most prestigious stock exchange in the world, the New York Stock Exchange (NYSE) was another possibility. The NYSE stock market, called the "Big Board," required companies to have over $10 million aggregate pre-tax income for the last three years.[39] As of December 2009, the NYSE was by far the largest stock exchange with $11.8 trillion market capitalization. U.S. companies had to comply with U.S. GAAP accounting standards, non-U.S. companies with IFRS. Euronext's merger with the New York Stock Exchange (NYSE) in 2007 allowed companies to offer securities in four European countries using their U.S. IPO filing documents if they were listed on the NYSE.

Some companies complained that the Sarbanes-Oxley Act (SOX), passed in 2002, included reporting, disclosure, and compliance regulations that made listing in the U.S. more expensive. In addition, after the financial crisis, IPO activity at the NYSE had fallen sharply (**Exhibit 8** shows aggregate US IPO volumes since 1975). NYSE had responded by lowering hurdles in late 2008, allowing listings of newly public companies with $150 million in stock-market value and no revenue. NYSE also became more aggressive in pitching companies to list on the NYSE. In 2009, 35 companies completed IPOs and raised $15.7 billion. By this measure, the NYSE ranked third globally, after Hong Kong and Shanghai.[40]

**Nasdaq** Another overseas listing location option for L'Occitane was the U.S. Nasdaq exchange with $3.2 trillion market capitalization at the end of 2009. Companies could go public on Nasdaq by either showing a record of positive earnings, sufficient cash flows in the last three years,



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or having large market capitalization.[b] Companies should meet U.S. GAAP (or IFRS for non-U.S. issuers). After Nasdaq's IPO activity was hit hard by the financial crisis (only 13 companies completed IPOs in 2008 compared to 132 in 2007), the exchange aggressively worked on attracting companies to list, through appealing to its cost effectiveness and liquidity. The number of IPOs had come back somewhat to 31 in 2009. However, the number of foreign companies going public at Nasdaq remained low: there was one foreign IPO in 2008 and none in 2009 (17% of the IPOs in 2007 had been by foreign companies).

**Hong Kong Stock Exchange** Considering L'Occitane's growth prospects in Asia, the Hong Kong Stock Exchange (HKEx), the third largest stock exchange in Asia by total market capitalization after Tokyo and Shanghai, was an option. HKEx's main market, the "Main Board", encompassed companies with over HK$200 million market capitalization (one Euro corresponded to HK$10.64). Listed companies were required to report accounts semi-annually. While stock exchanges in the U.S. and Europe were struggling to attract new listings due to the financial crisis, the number of IPOs on HKEx jumped from 29 in 2008 to 66 in 2009, making HKEx the largest new listing venue outside of mainland China by number of IPOs. Hong Kong was the top market in terms of capital raised by IPOs in 2009, overtaking the U.S.[41] To date, however, HKEx had few listed companies that were not local or from mainland China (55 dual-listed Chinese companies as of 2008). Therefore, HKEx accelerated its efforts to attract companies outside China, hoping to turn HKEx into a global trading platform. In September 2009 HKEx expanded the number of acceptable jurisdictions for incorporation from four to 12 and announced the plan to add more over time.[c] "the global size of IPOs in Chinese Asia in 2009 topped the size of IPOs in the United States, which should tell us something," said one banker at Rothschild.[42] UC Rusal, a Russian aluminum company incorporated in Jersey, successfully raised $21.5 billion in the first HKEx IPO of a non-Asian company in January 2010.

**Cross listing** Finally, cross listing, or the listing of its shares on one or more stock exchanges in addition to the primary exchange, was another option that L'Occitane could consider. Companies usually cross-listed by issuing depository receipts (DR), which represented ownership of home market shares in the overseas corporation and were denominated in the foreign country's currency. Global depositary receipts (GDRs) were certificates traded outside the U.S. and American depositary receipts (ADRs) certificates traded in the U.S.

A company typically cross-listed its shares in order to attract more investors, or to achieve greater liquidity, a higher share price, and a lower cost of capital. In the 1980s and 1990s, many companies cross listed their shares in New York, London, and Tokyo. Given that capital markets had become more liquid and integrated, that investors had started to trade shares globally, and that corporate governance rules had gotten stricter and more uniform, people argued that the costs of a cross listing might now exceed the benefits, at least for companies in developed countries.[43]

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[b] The minimum requirement for companies to go public at Nasdaq was 1) to have aggregate pre-tax earnings for the last three years over 11 million and positive earnings for each year, 2) to have positive cash flows in the last three years, over $550 million market capitalization and over $110 million revenue in the previous year, or 3) to have over $850 million market capitalization and over $90 million revenue in the previous year. "Listing Standards and Fees," Nasdaq (April 2011), p. 1. Available at: https://listingcenter.nasdaqomx.com/assets/nasdaq_listing_req_fees.pdf. Accessed on June 17, 2011.

[c] Australia, British Virgin Islands, Canada (British Columbia and Ontario), Cyprus, Germany, Luxembourg, Singapore and U.K. were added in addition to Hong Kong, mainland China, Bermuda and Cayman Islands.



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### *Where and at What Price?*

The price that investors were willing to pay for L'Occitane shares was obviously an important consideration in deciding whether to list, and if so where. Analysts expected L'Occitane shares to trade at about 25 to 30 times earnings (trailing earnings were approximately €60 million).[44] Based on this range of trading multiples, L'Occitane's market capitalization would be between €1.5 billion and €1.8 billion. Assuming that L'Occitane had approximately 1.5 billion shares outstanding after the IPO, this corresponded to a share price between €1.00 and €1.20 per share.

Given Geiger's global growth objectives, an important question was whether this range of share prices represented a favorable valuation of L'Occitane. **Exhibit 9** shows valuation data for large publicly traded firms in the industry. In addition, **Exhibit 10** shows L'Occitane financial projections based on analyst expectations and the number of new stores that Geiger expected to open during the next five years. Equity analysts used a discount rate of around 10% to value L'Occitane's free cash flows, a growth rate of 2-3% when forecasting long-term growth, and assumed a tax rate of 23% going forward.



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**Exhibit 1** L'Occitane Selected Product Photos

Source: L'Occitane en Provence company website, "L'OCCITANE Amenity Programs," accessed at http://usa.loccitane.com/FO/Corporate/B2B/, in June 2011.



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**Exhibit 2** Ten Largest National Markets for Cosmetics and Personal Care Products, 2008

| | Country | Market size ($ billion) | Sales Growth (2004–2008, CAGR %) |
|---|---|---|---|
| 1 | U.S. | 52.1 | 1.9 |
| 2 | Japan | 33.8 | 1.5 |
| 3 | Brazil | 28.8 | 12.9 |
| 4 | China | 17.8 | 11.7 |
| 5 | Germany | 16.9 | 2.1 |
| 6 | France | 16.1 | 1.1 |
| 7 | U.K. | 15.7 | 4.7 |
| 8 | Russia | 12.5 | 13.9 |
| 9 | Italy | 12.3 | 1.8 |
| 10 | Spain | 10.6 | 6.0 |

Source: Compiled by case writers based on Euromonitor International Data of December 2009 as shown in L'Occitane International S.A., "L'Occitane's Investor Relations—Global Offering Prospectus," L'Occitane Company website, http://www.loccitane.com/investors/, published April 24, 2010, accessed May 2011.



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**Exhibit 3** L'Occitane Storefront Photo

Source: L'Occitane en Provence company website, "Boutique Finder," accessed at http://www.loccitane.com/boutique-finder,29,1,2756,106329.htm, in June 2011.



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**Exhibit 4** L'Occitane Consolidated Income Statement, 2007–2009 (in thousands of euros)

| | Fiscal year Ending March 31 | | | Nine months Ending |
|---|---|---|---|---|
| | 2007 | 2008 | 2009 | Dec 31, 2009 |
| **Net sales** | € 334,949 | € 414,965 | € 537,335 | € 462,694 |
| Cost of sales | 63,802 | 78,601 | 105,550 | 87,626 |
| **Gross profit** | **271,147** | **336,364** | **431,785** | **375,068** |
| Distribution | 149,256 | 180,221 | 239,906 | 197,647 |
| Marketing | 37,144 | 44,658 | 59,434 | 44,450 |
| General and administrative | 32,298 | 38,379 | 50,803 | 40,982 |
| Other, incl. loss/(gain) on asset sales | (338) | (30) | 1,152 | (1,752) |
| **Operating profit** | **52,111** | **73,136** | **80,490** | **93,741** |
| Finance costs | 4,535 | 970 | 5,856 | 2,787 |
| Loss/(gain) on other items | 2,251 | (6,895) | 1,677 | 3,080 |
| **Earnings before income tax** | **45,325** | **65,271** | **76,311** | **94,034** |
| Income tax expense | 9,818 | 15,656 | 16,927 | 25,307 |
| Loss from discontinued operations | - | 91 | - | - |
| **Net income** | **35,507** | **49,524** | **59,384** | **68,727** |
| Minority interests | 2,350 | 1,626 | 1,001 | 2,350 |
| **Net income to equity holders** | **33,157** | **47,898** | **58,383** | **66,377** |

Source: Based on L'Occitane en Provence, L'Occitane International SA, "Prospectus for Global Offering," pp. 7-9. Accessed at at http://img.loccitane.com/OCMS/Investors/EN/pdf/26-04-2010-Prospectus.pdf, on July 4, 2011.



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**Exhibit 5** L'Occitane Consolidated Balance Sheet, 2007–2009 (in thousands of euros)

| | As of March 31 | | | As of |
|---|---|---|---|---|
| | 2007 | 2008 | 2009 | Dec 31, 2009 |
| **ASSETS** | | | | |
| Cash and cash equivalents | € 55,916 | € 39,073 | € 27,279 | € 88,323 |
| Trade receivables, net | 29,339 | 39,197 | 42,512 | 61,203 |
| Inventories, net | 41,616 | 57,245 | 77,666 | 65,894 |
| Other current assets | 10,355 | 17,167 | 26,252 | 21,560 |
| **Current assets** | **137,226** | **152,682** | **173,709** | **236,980** |
| Property, plant and equipment, net | 47,028 | 51,729 | 69,350 | 71,556 |
| Goodwill | 31,749 | 35,334 | 78,510 | 83,477 |
| Intangible assets, net | 16,464 | 18,629 | 37,414 | 39,828 |
| Deferred income tax assets | 17,383 | 25,130 | 30,966 | 27,732 |
| Other long-term assets | 8,990 | 10,892 | 17,214 | 16,890 |
| **Long term assets** | **121,614** | **141,714** | **233,454** | **239,483** |
| **TOTAL ASSETS** | **258,840** | **294,396** | **407,163** | **476,463** |
| **EQUITY AND LIABILITIES** | | | | |
| Trade payables | 37,184 | 53,702 | 50,702 | 49,557 |
| Current income tax liabilities | 12,623 | 15,783 | 13,998 | 16,076 |
| Borrowings | 15,873 | 29,044 | 33,831 | 73,754 |
| Other current liabilities | 16,838 | 20,705 | 25,224 | 35,698 |
| **Current liabilities** | **82,518** | **119,234** | **123,755** | **175,085** |
| Borrowings | 27,185 | 9,452 | 75,137 | 60,039 |
| Deferred income tax liabilities | 827 | 781 | 5,851 | 5,699 |
| Other non-current liabilities | 6,028 | 9,689 | 15,161 | 15,252 |
| **Total long-term liabilities** | **34,040** | **19,922** | **96,149** | **80,990** |
| Share capital | 38,185 | 38,232 | 38,232 | 38,232 |
| Additional paid-in capital | 49,995 | 49,995 | 49,995 | 49,329 |
| Other reserves | (669) | (5,741) | (1,120) | (2,390) |
| Retained earnings | 52,722 | 69,765 | 98,148 | 132,525 |
| Minority interests | 2,049 | 2,989 | 2,004 | 2,692 |
| **TOTAL EQUITY AND LIABILITES** | **258,840** | **294,396** | **407,163** | **476,463** |

Source: Based on L'Occitane en Provence, L'Occitane International SA, Prospectus for Global Offering, pp. 7-9. Acessed at http://img.loccitane.com/OCMS/Investors/EN/pdf/26-04-2010-Prospectus.pdf, on July 4, 2011.



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**Exhibit 6** L'Occitane Estimated Projections Top 10 Growth Markets, 2009–2013

| | Country | Market size ($ billion) | Forecasted sales growth (CAGR %, 2009-2013) |
|---|---|---|---|
| 1 | China | 6.6 | 7.8 |
| 2 | Brazil | 6.2 | 4.8 |
| 3 | India | 2.0 | 7.6 |
| 4 | Russia | 1.2 | 2.3 |
| 5 | U.K. | 1.2 | 1.8 |
| 6 | Spain | 0.8 | 1.9 |
| 7 | Thailand | 0.7 | 5.2 |
| 8 | Mexico | 0.5 | 1.6 |
| 9 | Canada | 0.5 | 1.7 |
| 10 | Saudi Arabia | 0.4 | 4.4 |

Source: Compiled by case writers based on Euromonitor International Data of December 2009 as shown in L'Occitane International S.A., "L'Occitane's Investor Relations- Global Offering Prospectus," L'Occitane Company website, http://www.loccitane.com/investors/, published April 24, 2010, accessed May 2011.



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**Exhibit 7** Selected Stock Exchanges Key Indicators, 2009

| | NYSE | Nasdaq | Euronext | LSE | HKEx |
|---|---|---|---|---|---|
| Location | US | US | France | UK | Hong Kong |
| Establishment | 1972 | 1971 | 1801 | 1773 | 1891 |
| Total market capitalization ($ billions) | 11,838 | 3,239 | 2,869 | 3,454 | 2,305 |
| Number of listed companies | 2,327 | 2,852 | 1,160 | 3,088 | 1,319 |
| Share foreign companies | 21.3% | 9.9% | 14.7% | 20.0% | 0.8% |
| Number of newly listed companies (including cross-listings) | 94 | 131 | 14 | 85 | 73 |
| Share foreign companies | 38.3% | 13.0% | 35.7% | 31.8% | 1.4% |
| Number of newly listed companies through IPO | 35 | 31 | 12 | 27 | 66 |
| Share foreign companies | 25.7% | 0% | 41.7% | 33.3% | 1.5% |
| Capital raised through IPOs ($ billions) | $15.8 | $ 8.0 | $ 2.2 | $ 3.0 | $ 31.5 |
| First day stock returns, historical[a] | 16.8% | 16.8% | 10.6% | 16.3% | 15.4% |
| Accounting standards | U.S. GAAP (IFRS for foreign private issuers) | U.S. GAAP (IFRS for foreign private issuers) | IFRS or recognized standards in EU | U.K. GAAP (IFRS or equivalent standard for non-U.K. issuers) | IFRS or HK Financial Reporting Standards |
| Reporting requirements | Quarterly | Quarterly | Quarterly | Quarterly | Semi-annually |

Source: Compiled by case writers based on the statistics of the World Federation of Exchanges and websites of each stock exchange, accessed May 2011.

[a] Based on "Initial Public Offerings: International Insights", by Tim Loughran, Jay Ritter and Kristian Rydqvist, *Pacific-Basin Finance Journal* 2, pp. 165–199, 1994, updated tables, May 16, 2011. Samples start in 1959 (UK), 1960 (US), 1980 (HK) and 1983 (France). The figures for the NYSE and Nasdaq refers to all US IPOs.

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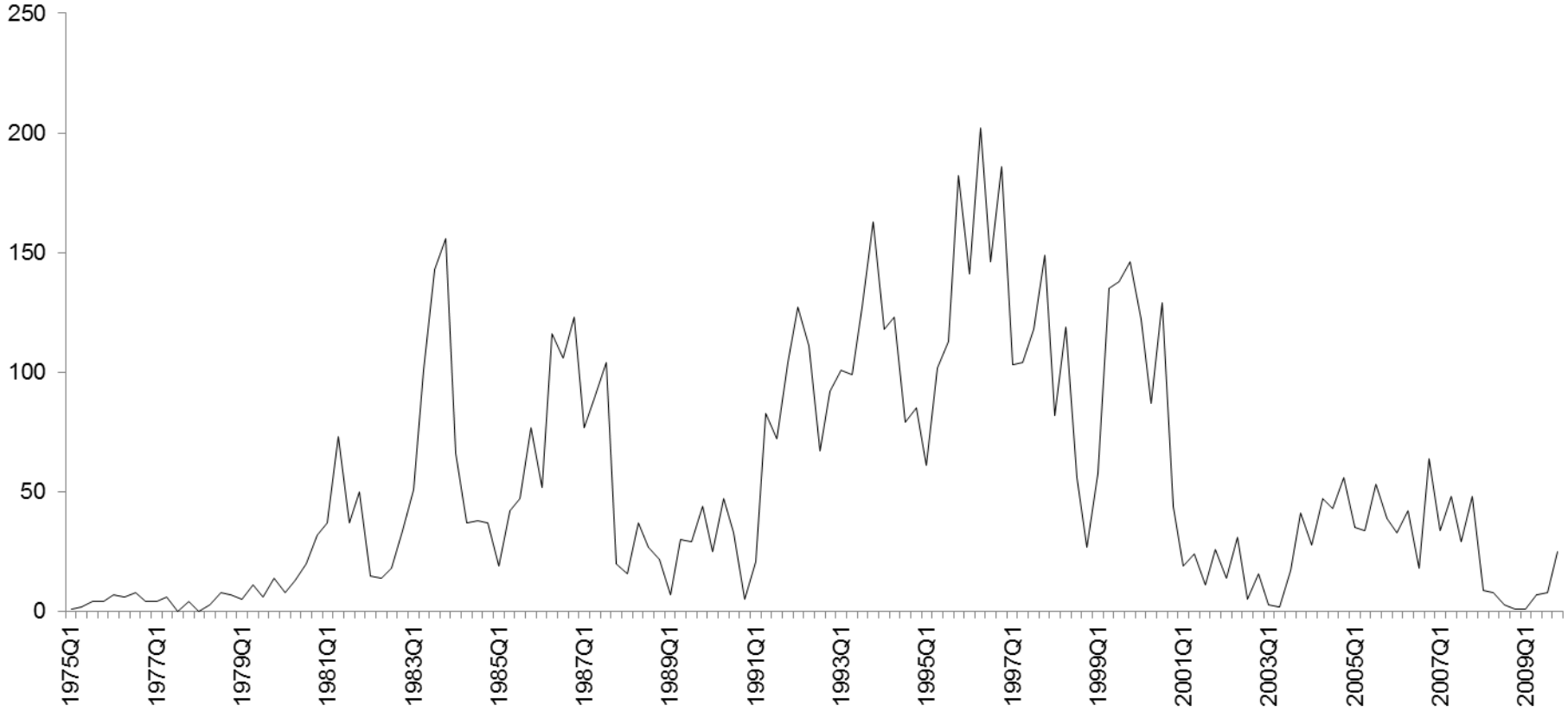
**Exhibit 8** Number of U.S. IPOs, by Quarter, 1975Q1–2009Q4[a]




Source: Jay Ritter's web page, http://bear.warrington.ufl.edu/ritter/ipoisr.htm, accessed October 2011. Based on the paper "The Market's Problems with the Pricing of Initial Public Offerings", by Roger Ibbotson, Jody Sindelar and Jay Ritter, *Journal of Applied Corporate Finance*, Spring 1994, pp 66-74.

[a] Excludes penny stocks, units and closed-end funds.

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**Exhibit 9** Publicly Traded Beauty Companies with Market Capitalization above $2 billion, 2009

| Company | Market capitalization ($ billion) | Revenue ($ billion) | Price-Earnings Ratio | Leverage (at market) | Exchange (primary) | Year Founded |
|---|---|---|---|---|---|---|
| L'Oreal | 65.2 | 25.0 | 25.4x | 6% | Euronext Paris | 1909 |
| Beiersdorf | 15.0 | 8.2 | 27.9x | 1% | Frankfurt | 1882 |
| Avon | 13.5 | 10.1 | 21.5x | 15% | NYSE | 1886 |
| Kao | 12.5 | 12.7 | 21.2x | 16% | Tokyo | 1877 |
| Estee Lauder | 9.5 | 7.5 | 23.4x | 13% | NYSE | 1946 |
| Hengan | 9.1 | 1.4 | 33.2x | 4% | Hong Kong | 1985 |
| Natura Cosmeticos | 8.9 | 2.4 | 22.8x | 4% | Sao Paulo | 1969 |
| Shiseido | 7.6 | 6.8 | 32.5x | 14% | Tokyo | 1872 |
| Hypermarcas | 5.1 | 1.1 | 30.6x | 20% | Sao Paulo | 2002 |
| Amorepacific | 4.7 | 1.7 | 24.2x | 2% | Korea | 1932 |
| Oriflame | 3.4 | 1.9 | 23.7x | 10% | OMX Nordic | 1967 |
| Dabur India | 3.0 | 0.7 | 29.2x | 1% | Mumbai | 1884 |
| Herbalife | 2.5 | 2.3 | 23.1x | 9% | NYSE | 1980 |
| Bawang International | 2.0 | 0.3 | 24.5x | 1% | Hong Kong | 1994 |

Source: Compiled by case writers based on Capital IQ, company web pages, accessed September 2011, and case writer calculations.

Leverage (at market): Total Debt /(Market Capitalization + Total Debt + Preferred Equity)



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**Exhibit 10** L'Occitane Projections, 2010–2015 (in thousands of euros, unless stated otherwise)

| | | | | Extrapolation based on projected new stores | | |
|---|---|---|---|---|---|---|
| | 2010 Est | 2011 Proj | 2012 Proj | 2013 Proj | 2014 Proj | 2015 Proj |
| Number of L'Occitane owned stores | 778 | 913 | 1,043 | 1,171 | 1,300 | 1,428 |
| Net sales | € 609,458 | € 729,474 | € 846,737 | € 950,922 | € 1,055,106 | € 1,159,291 |
| EBITDA | 141,401 | 169,661 | 203,041 | 228,024 | 253,006 | 277,989 |
| Depreciation and Amortization | 29,126 | 35,120 | 42,804 | 48,071 | 53,337 | 58,604 |
| EBIT | 112,275 | 134,541 | 160,237 | 179,953 | 199,669 | 219,385 |
| Trade receivables | 57,673 | 62,241 | 72,309 | 81,206 | 90,103 | 99,000 |
| Inventory | 86,827 | 103,925 | 115,991 | 130,263 | 144,535 | 158,806 |
| Trade payables | 58,834 | 77,169 | 94,716 | 106,370 | 118,024 | 129,678 |
| Capital expenditures | 34,613 | 47,416 | 55,038 | 61,810 | 68,582 | 75,354 |
| EBIT margin | 18.4% | 18.4% | 18.9% | 18.9% | 18.9% | 18.9% |
| Sales growth | 13.4% | 19.7% | 16.1% | 12.3% | 11.0% | 9.9% |
| Store growth | 15.6% | 17.4% | 14.2% | 12.3% | 11.0% | 9.9% |

Source: Compiled by case writers based on "L'Occitane International (973)," HSBC Global Research, June 9, 2010, p. 44, accessed via ThomsonOne, and casewriter calculations.

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## Endnotes

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